

HEADS OF TERMS
BETWEEN AXXELA LIMITED AND SOUTH ATLANTIC LNG WEST AFRICA LIMITED

These heads of terms dated _____ (the "**HoT**"), sets out the preliminary commercial understanding between Axxela Limited ("**Axxela**") and South Atlantic LNG West Africa Limited ("**SA LNG**") in relation to the negotiation of terms for the supply of natural gas by Axxela to SA LNG on a firm supply basis.

Commented [EKL1]: Counterparty to confirm registered name

The terms and conditions contained in this HoT do not constitute the entirety of all the conditions, covenants, terms, warranties and other provisions which would be contained in Definitive Agreement (as defined below). Axxela and SA LNG agree that this HoT do not constitute a commitment by either Party to proceed with the Transaction (as defined below) unless and until Definitive Agreement are negotiated, finalised and executed by the Parties.

The execution and delivery by the Parties of the Definitive Agreement (as defined below) is subject to:

- (i) satisfactory completion of legal, technical, commercial and financial due diligence by each of Axxela and SA LNG;
- (ii) receipt of all applicable internal, third party and governmental approvals;
- (iii) alignment of Axxela and SA LNG on all outstanding commercial and technical terms; and
- (iv) confirmation by Axxela, in its sole discretion, that sufficient gas supply, processing capacity, transportation capacity and associated commercial arrangements are available and remain available to support the proposed Transaction at the time SA LNG is ready to commence offtake.

Nothing in this HoT shall restrict Axxela or SA LNG from engaging in discussions, negotiations, arrangements or transactions with any third party relating to the supply, purchase, processing, transportation or utilisation of gas and neither Axxela or SA LNG shall have any claim against the other arising from such activities.

1.	Parties	• Seller: Axxela Limited ("Axxela") • Buyer: South Atlantic LNG West Africa Limited ("SA LNG") • "Party" means each of Axxela and SA LNG while "Parties" means both Axxela and SA LNG
2.	The Transaction	SA LNG is developing a liquefied natural gas ("LNG") plant in Kwale, Delta State with an initial capacity of approximately 6mmscf/d, comprising: (i) 5 mmscf/d for LNG production, and (ii) 1 mmscf/d for internal consumption, scalable up to 20-25 mmscf/d (the "Project"). The target date for commencement of gas supply is between Q4 2027 and January 2028 subject to conditions to be set out in the Definitive Agreement ("Target Commencement Date"). Axxela and SA LNG are in discussions towards the supply of 6mmscf per day (the "DCQ") of dry natural gas by Axxela to SA

		LNG on a firm supply basis for a 5 year term (the “Transaction”). The Parties have agreed to enter into this HoT to set forth the basis of the Transaction.
3.	Definitive Agreement	• Gas Sale and Purchase Agreement between SA LNG and Axxela detailing the terms and conditions for the delivery of the DCQ to the relevant delivery point (“GSPA”). • The Parties shall use reasonable endeavours to execute the GSPA no later than 3 months following execution of this HoT. • Either Party may, in its sole discretion, discontinue, suspend or terminate negotiations relating to the Transaction at any time prior to the execution of the GSPA, for any reason or no reason whatsoever, without liability to the other Party. • Neither Party shall have any claim against the other Party arising from the discontinuance of negotiations, failure to agree terms, failure to execute the GSPA, withdrawal from the proposed Transaction or the pursuit of any alternative transaction or commercial opportunity.
4.	Obligations of Parties	Axxela (or its nominee) shall execute the GSPA with SA LNG (or SA LNG’s nominee) which will set out the legal and commercial framework of the Transaction. SA LNG shall: (i) complete development, commissioning and achieve commercial operations of the Project before the Target Commencement Date; (ii) provide payment security in the form of a bank guarantee acceptable to Axxela which shall cover the payment for the supply of natural gas for a period of 3 months; (iii) execute the GSPA with Axxela or its nominee for the supply of gas to the LNG Plant; and (iv) process and obtain all relevant permits and licenses in addition to interfacing with all relevant regulatory authorities in respect of the Project. The Parties shall jointly finance and develop the relevant infrastructure required to implement the Transaction including last-mile connections as may be further detailed and documented in the GSPA.
5.	Conditions Precedent	The Parties shall incorporate applicable conditions precedent in the GSPA including, but not limited to: (i) Effectiveness of any gas supply or processing agreement required by Axxela to deliver Gas to SA LNG; (ii) Receipt by each Party of all internal approvals required for the Transaction;

		(iii) Receipt by each Party of all permits and authorisation as required by applicable law for the relevant phase of the Project and Transaction. (iv) The provision of the required payment security by SA LNG.
6.	Gas Quantities	The Buyer shall commit to and take or pay for if not taken, at least 90% of the DCQ.
7.	Term	The term of the GSPA shall be the period beginning on the date of first delivery/start date under the GSPA and ending on the date occurring 5 years from the date of first delivery under the GSPA with the option of renewal.
8.	Price	- The gas price at the Delivery Point shall be US\$2.65/mscf. - Price review provisions to allow the Seller escalate the gas price shall be set out in the GSPA.
9.	Taxes	- SA LNG shall pay or procure the payment of all taxes, levies, tariffs and other sums arising downstream of the Delivery Point in respect of gas sold under the GSPA, in line with applicable tax regulations. SA LNG shall indemnify Axxela against any liability which Axxela may incur in respect of such taxes, levies, tariffs or other sums that should have otherwise been payable by SA LNG. - Axxela shall pay or procure the payment of all applicable taxes, royalties, levies, tariffs arising upstream of the Delivery Point in respect of gas sold under the GSPA. Axxela shall indemnify SA LNG against any liability, which SA LNG may incur in respect of such taxes, royalties levies, tariffs or other sums that should have otherwise been payable by Axxela.
10.	Metering	Detailed provisions shall be set out in the GSPA.
11.	Maintenance	The Buyer and the Seller shall be entitled to reduce gas supply and offtake respectively to enable scheduled maintenance of their respective facilities.
12.	Force Majeure	Standard force majeure relief provisions and exclusions shall be agreed by the Parties and set out in the GSPA.
13.	Suspension and Termination	Suspension Rights: The Seller shall have the right to refuse further deliveries of Gas if: (i) the Buyer fails to renew the payment security 30 days before the expiry of such security; or (ii) the value of the payment security falls below the required payment security amount (whether due to a

		drawing upon the payment security, change in price or otherwise). Termination Rights; The Seller shall have the right to terminate the GSPA: (i) if the Seller exercises its suspension rights for any of the reasons stated above and the Buyer fails to renew or replenish the payment security (as the case may be) within thirty (30) business days of such suspension; or (ii) upon the insolvency of the Buyer. Buyer shall have the right to terminate the GSPA upon the insolvency of the Seller.
14.	Safety	The Parties shall secure, operate and maintain their respective facilities to the standards of safety and asset integrity generally of a reasonably prudent operator prevailing in the international oil and gas industry.
15.	Business Principles, Compliance and Ethics	Detailed provisions to be set out in the GSPA, including compliance with anti-bribery laws, conduct of parties, conflicts of interest, audit rights, internal controls and record keeping.
16.	Confidentiality	The Parties agree that the contents and existence of this HoT, the Definitive Agreement and the contents of their discussions in connection with the Transaction (collectively, the “Transaction Contents”) shall remain strictly confidential, and except as required by applicable law or by a governmental authority, no Party shall directly or indirectly, disclose, reveal, divulge, publish or otherwise make known any of the Transaction Contents. Furthermore, no Party including the Parties’ respective employees, affiliates, shareholders, directors, representatives and advisers will make any announcement or statement relating to the Transaction or any discussion which is currently taking place or the existence of this HoT without the written consent of the other Party. Notwithstanding the above, nothing shall prevent a Party from disclosing the Transaction Contents to its employees or professional advisers for the purposes of the Transaction and/or the Project who have been made aware of, and agree to be bound by, the obligations under this paragraph, or are in any event subject to confidentiality obligations as a matter of law or professional practice.
17.	Legal Nature of HoT	Except for Clauses 16 (Confidentiality), 19 (Governing Law), 20 (Dispute Resolution), this paragraph and any other provisions expressly stated to survive termination or expiry of this HoT, the provisions of this HoT are non-binding and shall not create any

		legally enforceable obligation on either Party to enter into the Transaction or any definitive agreement.
18.	NO-RELIANCE AND COSTS	Each Party acknowledges that it is entering into discussions regarding the Transaction solely on the basis of its own investigations and assessments and has not relied upon any representation, warranty, undertaking or assurance made by the other Party except as may be expressly contained in a definitive agreement executed by both Parties. Each Party shall bear its own costs and expenses incurred in connection with the evaluation, negotiation and documentation of the Transaction and neither Party shall be entitled to reimbursement from the other Party irrespective of whether the Transaction proceeds.
19.	Governing Law	Laws of the Federal Republic of Nigeria
20.	Dispute Resolution	- Any dispute arising out of or relating to this HoTs which cannot, in the first instance, be amicably resolved by the Parties within fourteen (14) days of the service of a notice of dispute by one Party to the other Party, shall be referred to arbitration by any of the Parties, in accordance with the provisions of the Arbitration and Mediation Act 2023, or any statutory re-enactment or modification thereof, which shall be deemed to be incorporated by reference into this paragraph, and such dispute shall be finally and exclusively settled by one (1) arbitrator jointly appointed by the Parties within ten (10) days of notice of referral of a dispute to arbitration, failing which the arbitrator shall be appointed by the Chairman, Chartered Institute of Arbitrators UK (Nigeria Branch), on the application of either Party. - The seat (or legal place) of arbitration shall be Lagos, Nigeria and the language of the arbitration proceedings shall be English.

IN WITNESS WHEREOF, the Parties have duly executed this heads of terms as of the day and year first above written.

SIGNED for and on behalf of
AXXELA LIMITED

By:

Signature: _____

Name: _____

Designation: _____

By:

Signature: _____

Name: _____

Designation: _____

SIGNED for and on behalf of
SOUTH ATLANTIC LNG WEST AFRICA LIMITED

By:

Signature: _____

Name: _____

Designation: _____

By:

Signature: _____

Name: _____

Designation: _____